

FUNDAMENTAL ACCOUNTING (100)

—Secondary—

NATIONAL – 2019

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Short-Answer Problems (16 @ 3 points each) _____ (48 points)

Job 1: Depreciation _____ (60 points)

Job 2: Inventory Costing _____ (60 points)

Job 3: Financial Analysis _____ (50 points)

TOTAL POINTS _____ **(275 points)**

Failure to adhere to any of the following rules will result in disqualification:

- 1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.**
- 2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.**
- 3. Electronic devices will be monitored according to ACT standards.**

No more than ten (10) minutes orientation
No more than ninety (90) minutes testing time
No more than ten (10) minutes wrap-up

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Workplace Skills Assessment Program competition.

General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have ninety (90) minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step to two decimals.
- Use 360 days for interest calculations.

MULTIPLE CHOICE

Identify the letter of the choice that best completes the statement or answers the question.

- _____ 1. Writing off an account using the Allowance method
 - a. decreases the book value of Accounts Receivable.
 - b. increases the book value of Accounts Receivable.
 - c. decreases the balance of Accounts Receivable.
 - d. increases the balance of Allowance for Uncollectible Accounts.

- _____ 2. Which of the following represents a contra account?
 - a. Equipment
 - b. Income Summary
 - c. Interest Income
 - d. Dividends

- _____ 3. For a partnership with a net loss, Income Summary is closed by
 - a. debiting each partner's Capital account.
 - b. crediting each partner's Capital account.
 - c. debiting each partner's Retained Earnings account.
 - d. crediting each partner's Retained Earnings account.

- _____ 4. Calculating annual depreciation expense this year on an asset that was bought in a prior year is an example of what accounting concept?
 - a. Consistent Reporting
 - b. Matching Expenses with Revenue
 - c. Realization of Revenue
 - d. Going Concern

- _____ 5. When prices are increasing, the highest cost of merchandise sold will result from
 - a. FIFO.
 - b. LIFO.
 - c. Weighted Average.
 - d. Gross Profit Method.

- _____ 6. After the adjusting entry for Prepaid Insurance has been posted, the balance of Insurance Expense is the
 - a. same as the beginning balance for Prepaid Insurance.
 - b. same as the ending balance for Prepaid Insurance.
 - c. value of insurance premiums expired during the fiscal period.
 - d. value of insurance premiums bought during the fiscal period.

- _____ 7. A customer issues a 60-day promissory note to your company on March 15. Sixty days later you receive cash in payment of the note. Journalizing the cash received would include credits to
- Notes Receivable and Interest Income
 - Notes Payable and Interest Income
 - Notes Receivable and Interest Receivable
 - Notes Payable and Interest Receivable
- _____ 8. Which section of the Cash Flows Statement would include issuing bonds?
- Operating
 - Investing
 - Financing
 - Expensing
- _____ 9. Which of the following would *result* in a higher gross profit, assuming everything else remains the same?
- Higher Purchases Discount
 - Lower Net Sales
 - Higher Beginning Merchandise Inventory
 - Lower Ending Merchandise Inventory
- _____ 10. A corporation's P/E ratio is calculated using the following formula.
- market price per share divided by earnings
 - par value of stock divided by earnings
 - market price per share divided by earnings per share
 - par value of stock divided by earnings per share
- _____ 11. Cash received for goods or services which have *not* yet been provided is a(n)
- prepaid expense.
 - deferred expense.
 - deferred revenue.
 - unearned revenue.
- _____ 12. When a firm uses the allowance method to provide for losses, the collecting of an account previously written off as uncollectible requires an entry to
- reinstate the account receivable.
 - increase the balance of the Sales account.
 - reduce the balance of Uncollectible Accounts Expense.
 - decrease the balance of the Allowance for Doubtful Accounts.
- _____ 13. Which of the following plant assets is *not* depreciable?
- Building.
 - Car.
 - Warehouse Equipment.
 - Land.

- _____ 14. Notes payables due more than a year later are usually shown in the
- current assets section of the balance sheet.
 - current liabilities section of the balance sheet.
 - long-term liabilities section of the balance sheet.
 - other expenses section of the income statement.
- _____ 15. Working capital =
- current assets + current liabilities
 - current assets – current liabilities
 - current assets x current liabilities
 - current assets / current liabilities
- _____ 16. Receiving cash from an international customer for the value of a time draft results in a credit to
- Cash.
 - Accounts Receivable.
 - Time Draft Receivable.
 - Sales.
- _____ 17. When a partner withdraws merchandise from a business, what is the resulting transaction?
- Dr Capital, Cr Merchandise Inventory
 - Dr Drawing, Cr Purchases
 - Dr Drawing, Cr Merchandise Inventory
 - Dr Capital, Cr Purchases
- _____ 18. In which section of the Cash Flows Statement would you include cash paid to pay off a long-term Note Payable?
- Operating
 - Financing
 - Investing
 - Expensing
- _____ 19. The method of depreciation that results in the same amount of depreciation expense each year is the
- units-of-production method.
 - straight-line method.
 - sum-of-the-years'-digits method.
 - declining-balance method.
- _____ 20. The general ledger of a partnership will
- not contain a separate drawing account for each partner.
 - contain one capital account that reflects the total equity of all partners.
 - not contain a capital account or accounts.
 - contain a separate capital account for each partner.

- _____ 21. The classification of stock that allows first (1st) rights to dividends is
- par value.
 - preferred.
 - treasury.
 - common.
- _____ 22. What category of account is Unearned Fees?
- Asset
 - Liability
 - Revenue
 - Expense
- _____ 23. Which of the following accounts will show on a Post-Closing Trial Balance?
- Rent Expense
 - Interest Income
 - Dividends
 - Accumulated Depreciation
- _____ 24. The stockholders of a corporation are
- the individuals who started the company.
 - its board of directors.
 - the presidents of the corporation.
 - its owners.
- _____ 25. Accepting a note from a customer for a past-due account results in a
- debit to Cash and a credit to Notes Payable.
 - debit to Accounts Receivable and a credit to Notes Receivable.
 - debit to Notes Receivable and a credit to Accounts Receivable.
 - debit to Interest Expense and a credit to Cash.
- _____ 26. Equipment is purchased on April 8, 2019, at a cost of \$6,700. The equipment has an expected life of 5 years and a salvage value of \$700. What is the 2019 depreciation expense?
- \$300
 - \$800
 - \$900
 - \$1,200
- _____ 27. In which order should the financial statements be prepared?
- Statement of Owner's Equity, Balance Sheet, Income Statement
 - Balance Sheet, Statement of Owner's Equity, Income Statement
 - Income Statement, Statement of Owner's Equity, Balance Sheet
 - Order of preparation does not matter.

- _____ 28. What type of account is Prepaid Rent?
- Asset
 - Liability
 - Revenue
 - Expense
- _____ 29. A letter issued by a bank guaranteeing that a named individual or business will be paid in a specified amount provided stated conditions are met is a
- contract of sale.
 - bill of lading.
 - time draft.
 - letter of credit.
- _____ 30. Expenses incurred in one fiscal period but *not* paid until a later fiscal period are
- accrued expenses.
 - deferred expenses.
 - prepaid expenses.
 - unearned expenses.

Short-Answer Problems - 3 points per answer

- On May 5, 2019 Koslowski Inc. signs a 90-day, 5.25%, \$2,000 note with State Bank. Find the following:
 - Account(s) debited on May 5_____
 - Account(s) credited on May 5_____
 - Maturity date_____
 - Interest on the note_____
 - Maturity value_____
- Kim Chang and Stephanie Jackson own CJ Company. During 2019, CJ Company shows a net income of \$84,234. The partnership agreement shows a profit/loss split of 60% for Chang, and 40% for Jackson.
 - What is the net income split for Chang? _____
 - What is the net income split for Jackson? _____

3. Nathan Rizzo earns \$14.42 per hour and gets paid time and a half for any hours worked over 40 in a week. Nathan has \$130 deducted in Income Tax, plus 6.2% of total earnings for Social Security Tax, and 1.45% of total earnings for Medicare Tax. Find the following, assuming Nathan works $43\frac{1}{4}$ hours for the week.
- a. Regular Earnings_____
 - b. Overtime Earnings_____
 - c. Net Pay_____
4. CHM Inc. has a net income for 2019 of \$142,680. The beginning Capital Stock balance was 50,000 shares outstanding of \$10.00 par value. No shares were issued during the year. The beginning Retained Earnings balance was \$214,690. During the year, CHM Inc. declared a dividend of \$0.80 per share. Find the following balances that will be shown on the December 31, 2019 Statement of Stockholders' Equity.
- a. Capital Stock _____
 - b. Retained Earnings_____
 - c. Total Stockholders' Equity_____
5. Sheehan Company uses the Aging method to determine the estimate of Accounts Receivables that will *not* be collected. On December 31, Sheehan showed the following aging of its accounts receivable, along with each category's estimated percentage of uncollectible. The ending balance of Allowance for Uncollectible Accounts is a credit of \$432.15.
- Not yet due – 0.2% - \$2,450
1-30 days past due – 1.5% - \$1,760
31-60 days past due – 4.0% - \$840
60 days past due – 50.0% - \$1,690
- Find the following:
- a. Accounts Receivable Balance_____
 - b. Total Estimated Uncollectible_____
 - c. Adjusting Entry Amount for Uncollectible Accounts Expense._____

Job 1 – Depreciation – 2 points each, 60 points total

Use the following information to complete a depreciation table for both the straight line and double-declining balance methods of depreciation.

Clark Apparel Company buys a piece of equipment on January 6, 2019, for \$15,000. The equipment has a five-year life, at which time the expected salvage value is \$1,200.

	Straight Line			Double-declining Balance		
	Annual Depreciation	Accumulated Depreciation	Ending Book Value	Annual Depreciation	Accumulated Depreciation	Ending Book Value
2019						
2020						
2021						
2022						
2023						

Job 2 – Inventory Costing – 42 points for table, 5 points for each answer below; 57 total

The table below shows the beginning inventory, as well as four separate purchases made during the year, of a product for General Office Supplies Company. The ending inventory for December 31 is 55 units. Find the following:

- Calculate the total cost for the beginning inventory, as well as for each purchase.
- Use the Totals row to calculate the total units, as well as the total cost, for the year.
- Determine FIFO units and FIFO cost, writing your answers in the table.
- Determine LIFO units and LIFO cost, writing your answers in the table.
- Total the FIFO cost and the LIFO cost, and write those answers in the Totals row.
- Write the FIFO and LIFO costs on the appropriate lines below the table.
- Calculate the Weighted Average cost, and place your answer below the table.

Purchase Date	Units	Unit Price	Total Cost	FIFO Units	FIFO Cost	LIFO Units	LIFO Cost
Beg. Inventory	25	7.15					
February 18	40	7.20					
June 21	30	7.55					
October 5	20	7.71					
December 6	30	8.10					
Totals							

FIFO Cost = _____

LIFO Cost = _____

Weighted Average Inventory Cost = _____

Job 3 – Financial Analysis – 50 Points

Balances at the end of 2019 for Rainbow Supplies, Inc. are shown below. All balances, other than beginning merchandise inventory, are after adjusting entries have been journalized and posted. Round percentages to the nearest tenth of a percent.

Cash - \$81,230	Sales - \$280,690
Accounts Receivable - \$12,320	Sales Discounts - \$1,945
Allowance for Uncollectible Accounts - \$780	Purchases - \$110,655
Jan 1 Merchandise Inventory - \$101,020	Purchases Discount - \$1,435
Dec 31 Merchandise Inventory - \$106,370	Advertising Expense - \$2,500
Supplies - \$6,410	Rent Expense - \$3,600
Prepaid Insurance - \$6,000	Insurance Expense - \$1,200
Accounts Payable - \$38,590	Salary Expense - \$76,210
Capital Stock - Common - \$65,000	Supplies Expense - \$9,265
Retained Earnings - \$55,105	Federal Income Tax Expense - \$27,155
Dividends - \$2,000	Current Market Price of Stock - \$32.50
	Number of Shares Outstanding - 40,000

Find the following:

- a. Gross Profit_____
- b. Gross Profit Margin_____
- c. Net Income before Tax_____
- d. Net Income after Tax_____
- e. Return on Sales_____
- f. Total Assets on Balance Sheet_____
- g. Total Stockholders' Equity on Balance Sheet_____
- h. Debt to Equity Ratio_____
- i. EPS _____
- j. P/E Ratio_____